Dixon Technologies (India) Ltd

Annual Report FY26 (financial year ended 31 March 2026)

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Business Overview

Dixon is India's largest home-grown electronics manufacturing services (EMS) company. It designs and manufactures products for leading consumer-electronics and mobile brands, which sell them under their own names.

The Company operates four segments: mobile phones and EMS, consumer electronics (LED televisions), home appliances (washing machines) and lighting products.

In FY26 the revenue mix was mobile and EMS 72%, consumer electronics 16%, home appliances 7%, lighting and others 5%.

Management Discussion and Analysis

Financial performance: Consolidated revenue from operations for FY26 was Rs. 53,630 crore against Rs. 38,861 crore in FY25, a growth of 38.0%.

EBITDA for FY26 was Rs. 2,139 crore, an EBITDA margin of 4.0%. Profit after tax was Rs. 1,416 crore against Rs. 1,007 crore in FY25.

Borrowings at the end of FY26 were Rs. 1,001 crore and net worth was Rs. 9,098 crore, a debt-to-equity ratio of 0.11. Cash flow from operating activities was Rs. 1,661 crore.

Outlook

Management expects the production-linked incentive (PLI) scheme and new customer additions in mobile phones to support growth in FY27. The Company is investing in display modules and component manufacturing to deepen value addition.

Risks and Concerns

Customer concentration: the top five customers contribute a large share of revenue, and the loss of any one could affect volumes.

Input and commodity volatility: component prices, especially memory and display panels, can move sharply and are passed through with a lag.

Changes to government incentive schemes such as PLI could affect profitability.

Competition from other EMS providers, domestic and global, could pressure margins.

Foreign exchange: a large share of components is imported and priced in US dollars.

Execution risk in scaling new plants and product lines on schedule.

Key Financial Ratios

Ratio FY26 FY25 | EBITDA margin % 4.0 3.9 | ROE % 15.6 12.0 | ROCE % 20.5 15.4 | Debt to equity 0.11 0.14 | Debtor days 36 39 | Inventory days 22 24

Notes to the Consolidated Financial Statements

Contingent liabilities: Claims against the Company not acknowledged as debts, including disputed tax demands and guarantees, amount to Rs. 590 crore as at 31 March 2026.

Related party transactions: Transactions with related parties during FY26 amounted to Rs. 215 crore. All related party transactions were in the ordinary course of business and at arm's length.

Independent Auditor's Report

Opinion: In our opinion, the consolidated financial statements give a true and fair view in conformity with Indian Accounting Standards. We have issued an unmodified opinion.

Report on Corporate Governance

Shareholding of promoters: Promoter shares pledged or otherwise encumbered: Nil.